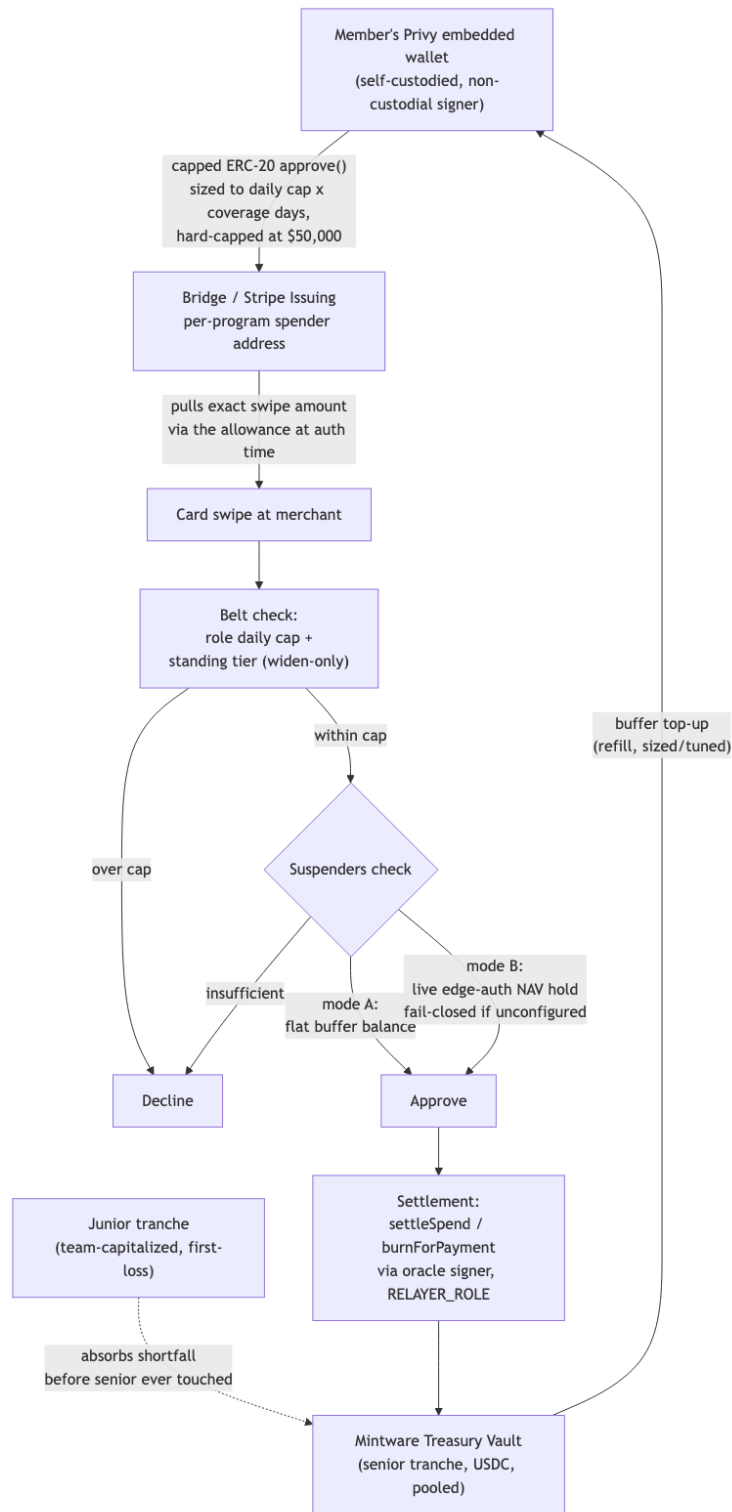


RD-1 — Funds Flow Document

Mintware · Bridge/Stripe Stablecoin-Issuing Card Program · Draft for internal legal/compliance review before submission

■ **Review note:** This document describes verified, real system mechanics (cited against the live codebase). The custody characterization section below — custodial vs. non-custodial — carries real money-transmission-licensing weight and should be reviewed by legal/compliance counsel before this document is submitted. Everything else describes engineering that exists today.

Diagram



Narrative Walkthrough

1. Funding wallet. Each card is funded from the member's own Privy embedded wallet — one wallet, one card (Bridge's own rule, matching how the buffer table is already scoped 1:1 per card). The member holds the wallet;

Mintware never holds a private key that can move 100% of a member's balance unilaterally.

2. The allowance, not a balance transfer. The funding wallet grants a plain ERC-20 approve(spender, allowance) on USDC to a per-program Bridge-provisioned spender address. This is a capped standing pull-right, not an unlimited approval: the allowance is sized to daily cap × coverage days (default 7 days), floored at one day's cap, and hard-ceilinged at \$50,000 absolute maximum, further scoped down to a multiple of the intended buffer target when configured.

3. At swipe time, Bridge/Stripe pull the exact authorized amount via that allowance — reading the wallet's real on-chain USDC balance, never a vault NAV computation (a live AMM-priced NAV read cannot complete inside a card network's ~6-second authorization window).

4. The authorization decision runs belt-and-suspenders: a role-based daily spend cap checked against the member's actual approved spend for the day (not just the current swipe), plus an optional 'standing' tier that can only ever widen a limit within the existing hard cap, never remove or bypass it. Suspenders are two mutually exclusive modes per card — a flat pre-funded buffer check, or a live NAV-based hold via the edge-auth service, which fails closed if unconfigured.

5. Where the money sits. The USDC the buffer draws from originates in the Mintware Treasury Vault — a senior/junior tranche structure. Community-facing senior capital is the par-protected, spendable claim; the team's own junior capital is contractually first-loss and is drawn down before senior capital in any shortfall — code-enforced, not discretionary.

6. Settlement (the on-chain burn-shares-and-pay leg) is executed by a designated oracle signer holding a specific on-chain role, not an arbitrary hot wallet.

Custody Characterization

Needs counsel sign-off, not just an engineering description:

The card funding wallet is the member's own Privy-embedded wallet — self-custodied in the sense that no single Mintware-controlled key can move it unilaterally, though Privy itself provides the underlying key-management infrastructure. The treasury vault is a smart-contract-pooled position — depositors receive shares against pooled principal, governed by contract logic (and, for specific risk parameters, a timelocked oracle signer) rather than held in a Mintware-controlled bank account. Whether this is the correct characterization for DDQ purposes (SO-1) is a determination for actual counsel.